

Private Firm Registration Act, 1958

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Private Firm Registration Act, 2014

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Amending Acts

1. Private Firm Registration (Amendment) Act, 2017 2018.1.14 2018.1.16

Royal Seal and Publication Date

2. Some Nepal Laws (Amendment and Reorganization) Act, 2020 2020.1.16

3. Justice Administration Reform (Fourth Amendment) Act, 2043 2043.7.24

4. Private Firm Registration (Second Amendment) Act, 2044 2044.6.9

5. Justice Administration Act, 2048 2048.2.16

Certification and Publication Date

6. Act to Amend Some Nepal Acts to Ensure Gender Equality, 2063 2063.7.17

7. Act to Strengthen the Republic and Amend Some Nepal Laws, 2066 2066.10.7

8. Act to Amend Some Nepal Acts, 2072 2072.11.13

9. Act to Amend Some Nepal Acts to Make Compatible with the Constitution of Nepal, 2075 2075.11.9

Act No. 20 of the year 2014

An Act made for the purpose of registering Private Firms

Whereas it is desirable to maintain the convenience and economic interest of the general public by making provisions for the registration of private firms engaged in trade and industrial business and other related arrangements, amended by Some Nepal Laws (Amendment and Reorganization) Act, 2020. This Act is hereby enacted and issued by His Majesty the King. 1. Short title, extent and commencement: (1) This Act may be called the "Private Firm Registration Act, 2014."

(2) This Act shall apply throughout Nepal.

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act-

(a) "Private Firm" means a firm or company or category that carries on the business of export or import of industrial business by one person under a private or so-called name, amended by Some Nepal Laws (Amendment and Reorganization) Act, 2020.

(b) "Export" means the act of exporting goods from the State of Nepal to foreign countries.

(c) "Import" means the act of importing goods into the State of Nepal from foreign countries.

(d) "Notified Order" means an order published in the Nepal Gazette.

amended by Act to Amend Some Nepal Acts to Make Compatible with the Constitution of Nepal, 2075.(e) "Concerned Department" means, for matters of firms related to commerce, the Department of Commerce, Supplies and Consumer Protection, and for matters of other industries besides that, the Department of Industries, and that term shall also mean the department or office dealing with commerce and industry of the provincial government for matters related to commerce and cottage and small industries.

(f) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. 3. Prohibition on opening a Private Firm without registration: After the commencement of this Act, no person shall open a private firm without registering it under this Act. 4.

Application for registering a Private Firm and registration: (1) A person wishing to register a private firm may submit an application in the prescribed form along with the prescribed fee to the concerned Department. Such application shall contain the following particulars:- (a) Name of the private firm. (b) Address of the private firm. (c) Purpose of the private firm and details of the goods or articles it deals in and the work it performs. amended by the Second Amendment.(d) Name, address, and amended by Act to Amend Some Nepal Acts to Ensure Gender Equality, 2063. names of father and mother and grandfather and grandmother of the owner of the private firm, and (e) Other particulars as may be prescribed by the Government of Nepal by a notified order from time to time. (2) After an application is filed under sub-section (1), the concerned Department shall make necessary inquiries as prescribed, and if upon inquiry it has reasonable cause to believe that the particulars disclosed in the application are true and if it considers it reasonable to open a private firm as applied for, it shall register the private firm in the register book as prescribed and issue a certificate in the prescribed form to the applicant. added by the Second Amendment.(3) Notwithstanding anything contained in sub-section (2), more than one private firm related to commerce having the same purpose shall not be registered in the name of the same person. 5. Duration of certificate of a Private Firm and method of renewal: The duration of the certificate of each private firm registered under this Act, the method of renewal, and the fee payable for such renewal shall be as prescribed. added by Act to Amend Some Nepal Acts to Make Compatible with the Constitution of Nepal, 2075.5A. Private Firm Registration in Province: The registration, renewal, and other related arrangements of private firms at the provincial level shall be as provided in the provincial law, subject to this Act. amended by the Second Amendment.6. Approval required in case of change in particulars: If any change is to be made in the particulars kept submitted with the concerned Department under sub-section (1) of Section 4, notice as prescribed shall be given to the concerned Department within the prescribed period, and the change may be made only after approval is obtained from the concerned Department. 7.

Legal recognition not to be given to transactions and other dealings made in the name of Private Firms not registered under this Act: After the commencement of this Act, no legal recognition shall be given to any transaction or other dealing made in the name of a private firm not registered under this Act. added by the Second Amendment.7A. Concerned Department may demand particulars: (1) The concerned Department may demand details of accounts from any private firm registered under this Act. (2) It shall be the duty of such private firm to submit the details of accounts demanded under sub-section (1) to the concerned Department. added by the Second Amendment.7B. Private Firm may be dissolved: (1) The concerned Department may dissolve a private firm in the following circumstances:- (a) If a private firm related to commerce and business does not get renewal within the prescribed period, (b) If the owner of the private firm submits an application to the concerned Department showing reasonable cause to have his/her private firm dissolved, (c) If it is determined that the private firm was registered by misrepresenting any matter contrary to

sub-section (3) of Section 4, (d) If, when the concerned Department demands the details under Section 7A, the relevant private firm does not submit such details within the prescribed period, (e) If a private firm related to industry, after operating, closes the industry with or without informing the concerned Department, (f) If a private firm related to industry does not get renewal within the prescribed period from the date of expiry of the renewal period, or even if it gets renewal, does not submit a written progress report to the concerned Department regarding the construction of a factory, purchase of machinery, tools or equipment, or any work necessary for operating the industry in accordance with the conditions of the license, or (g) If the private firm does any other act contrary to this Act or the rules made under this Act. (2) Before dissolving a private firm under clause (a), (c), (d), (e), (f), or (g) of sub-section (1), the concerned Department shall give the relevant private firm a reasonable opportunity to submit evidence of defense. (3) If a private firm is dissolved by the concerned Department under clause (a), (c), (d), (e), (f), or (g) of sub-section (1), another private firm with the same purpose shall not be registered in the name of the owner of the dissolved firm for one year. 8. Penalty: (1) Every owner of a private firm opened without registration under this Act shall be liable to a fine of Rs. 5 (five) to Rs.

50 (fifty) at the discretion of the concerned Department, and if the same offense is repeated, an additional fine of Rs. 10 (ten) shall be imposed for each subsequent offense up to three times in addition to the initial fine. If such act is done for a fourth time, no registration shall ever be allowed in that person's name. (2) A person who submits false particulars while applying under Section 4 shall be liable to a fine of Rs. 25 (twenty-five) to Rs. 50 (fifty) at the discretion of the concerned Department. (3) A private firm that fails to submit the notice required under Section 6 within the prescribed period or submits a false notice shall be liable to a fine of Rs. 25 (twenty-five) to Rs. 50 (fifty) at the discretion of the concerned Department. (4) The Government of Nepal may, by a notified order, prohibit any private firm not registered or renewed under this Act and any bank dealing with such firm from exporting or importing any goods. added by Justice Administration Reform (Fourth Amendment) Act, 2043.(5) A person dissatisfied with the punishment imposed by the concerned Department under this section may appeal to the amended by Act to Amend Some Nepal Acts, 2072.High Court. 9. Power to make rules: The Government of Nepal may make rules for the purpose of implementing this Act. The Government of Nepal may also make provision in such rules for imposing fines on persons who violate the matters written in those rules. 10. Repeal: The Private Company Law dated 2000 Chaitra 17, day 4 is hereby repealed. 11. amended by Private Firm Registration (Amendment) Act, 2017. This amendment shall be deemed to have come into force from the date of commencement of the original Act. Previous licenses to be void: All licenses previously issued by the Government of Nepal in relation to opening a private firm before the commencement of this Act must be renewed by completing the procedure prescribed under Section 5 within the period specified by the Government of Nepal by publishing a notice in the Nepal Gazette. Licenses not renewed within that period shall become void.